Notes of client planning meeting – Sheena's Designs Ltd

Meeting held: 05 November 20X3

Y/E date: 31 December 20X3

Client background

Sheena's Designs Ltd ('Sheena's') is a bespoke jewellery manufacturer and retailer based in Edinburgh. The company creates and sells several ranges of Celtic inspired jewellery, which are popular with both locals and tourists.

Sales have been steady for the past three years, and sales of existing products are expected to remain constant for the next year. The company is not impacted by any seasonal fluctuations.

Raw materials

Various raw materials are used in the manufacture of Sheena's jewellery products, including gold, silver, and gemstones.

The price of silver, a key raw material used, has increased 120% during the last year. Industry reports have noted that this has had a significant cost impact on small to medium sized jewellery manufacturers.

Management have confirmed that the cost impact of this has not been passed on to customers.

New products

In addition to existing products, Sheena's is developing a new line of engagement rings.

The launch of these have been publicised extensively on social media and (although the manufacture has not yet been completed for any of these engagement rings) a large number of pre-orders have been received.

Bank loan

Sheena's has an existing bank loan of £50,000, which the bank has confirmed it will renew for the next year. In addition to this, the company has obtained a new bank loan of £20,000 in order to help finance the expansion of its current premises.

The new loan includes a covenant that Sheena's trade receivable days cannot be more than 70 days.